



Summer Projects '26

Decoding Customer Value: A SQL-Driven Retention Strategy

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Introduction

This report presents a data-driven customer retention strategy for a growing D2C fashion brand. While the brand has successfully scaled to roughly 3,900 active shoppers, this growth has relied on reactive discounts rather than a structured understanding of customer lifetime value. Operating entirely without physical stores, direct customer relationships are the business's most critical asset.

The central challenge is a historical lack of actionable intelligence. Without identifying who drives long-term profitability, the brand risks eroding margins to attract one-time bargain hunters.

By synthesizing transactional data via Python-based feature engineering and SQL segmentation, this analysis decodes true customer value. Ultimately, it transitions the business from gut-feel marketing to an evidence-based framework, delivering a concrete Promotional Sunset Plan and an Ideal Customer Profile (ICP) to reduce discount dependency, protect profit margins, and foster genuine, organic loyalty.

Methodology

- **Data Preparation & Feature Engineering (Python):** The raw dataset was first evaluated to identify actionable variables. Using the Pandas library in VS Code, the data was thoroughly cleaned and transformed, engineering foundational metrics to capture customer value, satisfaction, and promotional reliance.
- **Visual Analytics & Dashboarding (Power BI):** The cleaned dataset was imported into Power BI to uncover initial surface-level trends. The dashboard was iteratively fine-tuned by creating custom DAX measures and targeted visualizations to map value distribution, category performance, and geographic opportunities.
- **Advanced Customer Segmentation (SQL):** A structured query layer was built to dive deeper into the data. SQL was utilized to classify customer segments, separate genuinely loyal buyers from discount-dependent ones, and mathematically answer the core strategic business questions.
- **Strategic Synthesis & Playbook Formulation:** Finally, the quantitative findings across Python, Power BI, and SQL were synthesized into qualitative, actionable business recommendations. This synthesis directly informed the creation of the Promotional Sunset Plan, the Ideal Customer Profile (ICP), and the overarching executive summary.

Data cleansing

- **Data Standardization:** Resolved categorical inconsistencies within the "Frequency of Purchases" attribute by standardizing "Fortnightly" records into a uniform "Bi-Weekly" format.
- **Categorical Discretization:** Applied targeted binning thresholds to transform continuous data points into structured business dimensions:
 - Age Group: Segmented demographic data into distinct behavioral cohorts.
 - Spend Segment: Classified transaction amounts into Entry, Core, and Premium value tiers.
 - Loyalty Segment: Bracketed customers from "First-Time Buyers" to "Brand Evangelists" based on historical purchase counts.
- **Algorithmic Feature Engineering:** Derived a numerical "Frequency Score" to model customer tenure via "Estimated Engagement" metrics in days and years. Integrated conditional logic to mitigate mathematical zero-division errors.

Data cleansing

```
• import pandas as pd
• import numpy as np
• # Load the dataset (Change 'customer_data.csv' to your actual file name)
• try:
•     df = pd.read_csv("C:/Users/hansr/Downloads/caiitg2/Dataset.csv")
•     print("Dataset loaded successfully.")
• except FileNotFoundError:
•     print("Error: 'customer_data.csv' not found. Please check the file path.")
•     exit()
• # CLEAN FREQUENCY OF PURCHASES
• frequency_mapping = {
•     'Fortnightly': 'Bi-Weekly',
•     'Bi-Weekly': 'Bi-Weekly',
•     'Every 3 Months': 'Quarterly',
•     'Quarterly': 'Quarterly'}
• # Map the changes; keep original values (like 'Weekly', 'Monthly') if they don't match the map
```

Data cleansing

- `df['Frequency of Purchases'] = df['Frequency of Purchases'].replace(frequency_mapping)`
- `# CLASSIFY AGE GROUPS`
- `age_bins = [17, 24, 39, 55, 70]`
- `age_labels = [`
- `'Mobile-First / Social Buyers',`
- `'Digital Natives',`
- `'Digital Adopters',`
- `'Traditional Web Shoppers']`
- `df['Age Group'] = pd.cut(df['Age'], bins=age_bins, labels=age_labels)`
- `# CLASSIFY PURCHASE AMOUNT (USD)`
- `# Note: Adjusting slightly to 19.99 to ensure exactly $20 is caught in the first bucket`
- `spend_bins = [19.99, 39, 69, 100]`
- `spend_labels = [`
- `'Entry-Level Buyers',`
- `'Core Spenders',`
- `'Premium Spenders']`

Data cleansing

- `df['Spend Segment'] = pd.cut(df['Purchase Amount (USD)'], bins=spend_bins, labels=spend_labels)`
- `# CLASSIFY PREVIOUS PURCHASES`
- `purchase_bins = [0, 1, 5, 15, 50]`
- `purchase_labels = [`
- `'First-Time Buyers',`
- `'Repeat Customers',`
- `'Brand Enthusiasts',`
- `'Brand Evangelists']`
- `df['Loyalty Segment'] = pd.cut(df['Previous Purchases'], bins=purchase_bins, labels=purchase_labels)`
- `# ASSIGN FREQUENCY SCORES`
- `score_mapping = {`
- `'Annually': 0.002739,`
- `'Quarterly': 0.011111,`
- `'Monthly': 0.033333,`
- `'Bi-Weekly': 0.071428,`
- `'Weekly': 0.142857}`

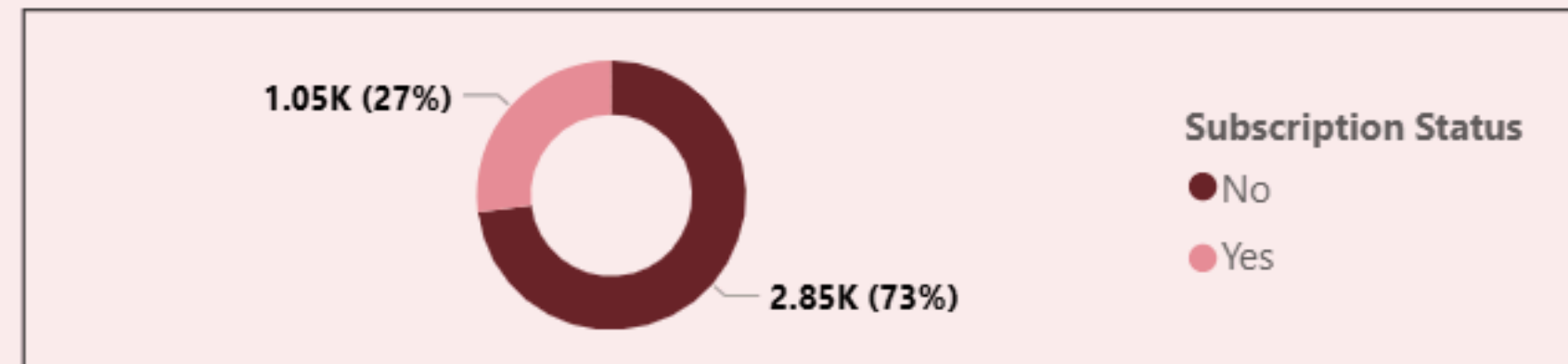
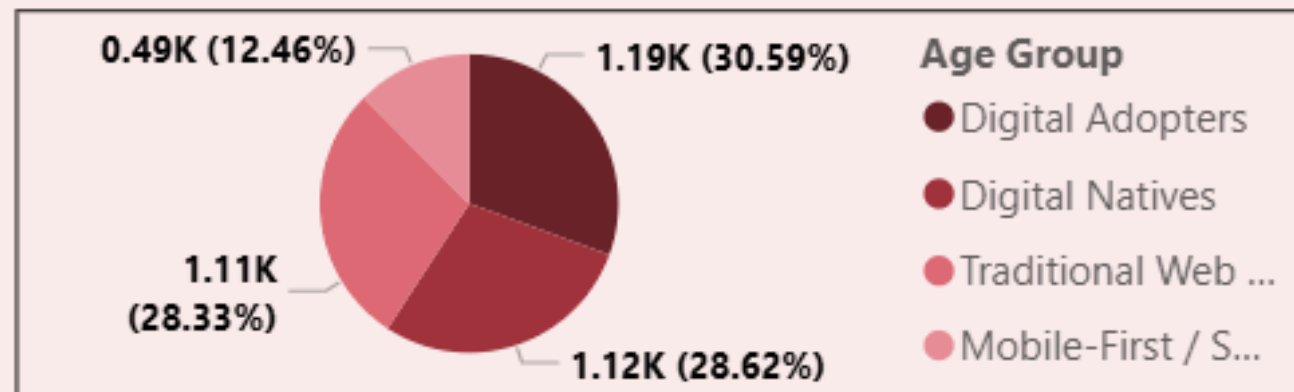
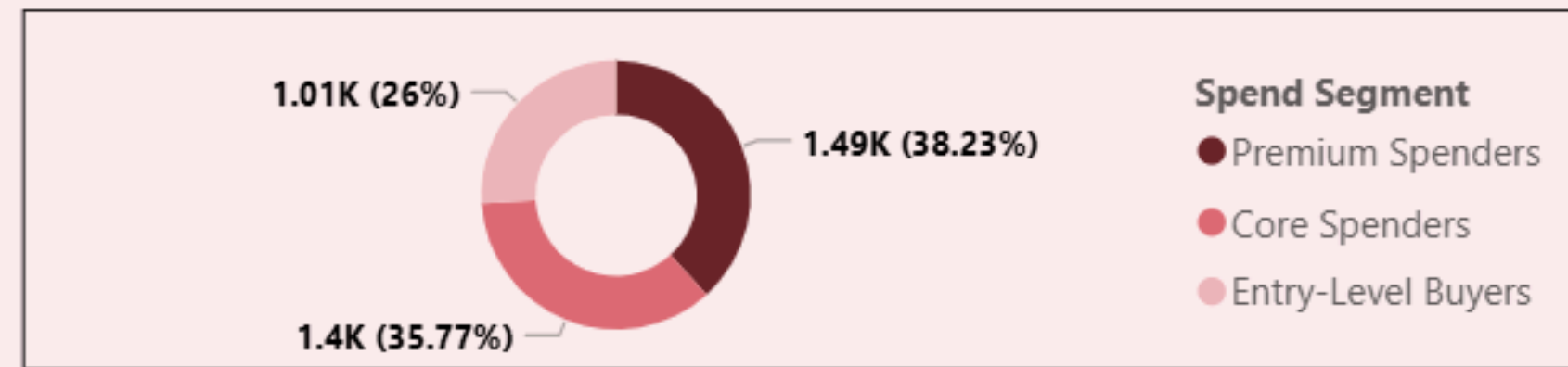
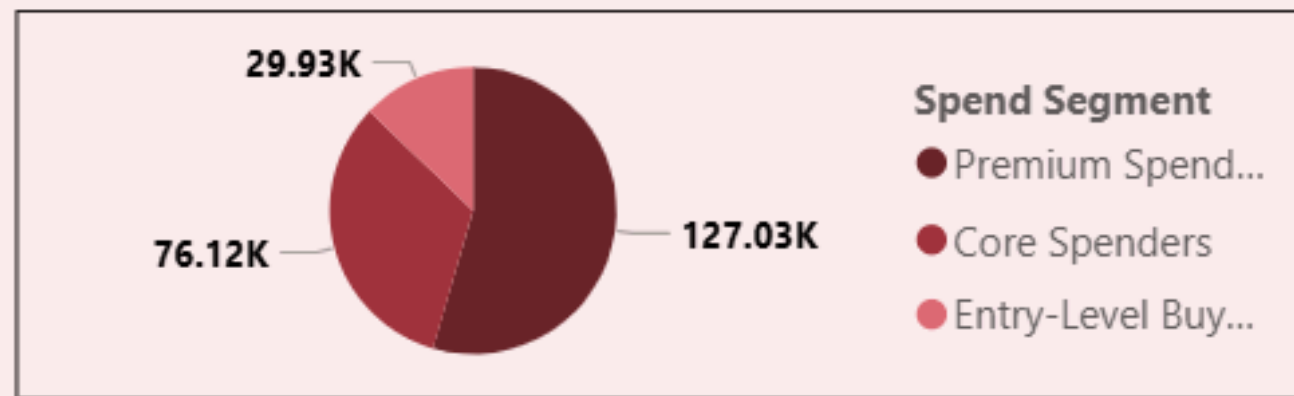
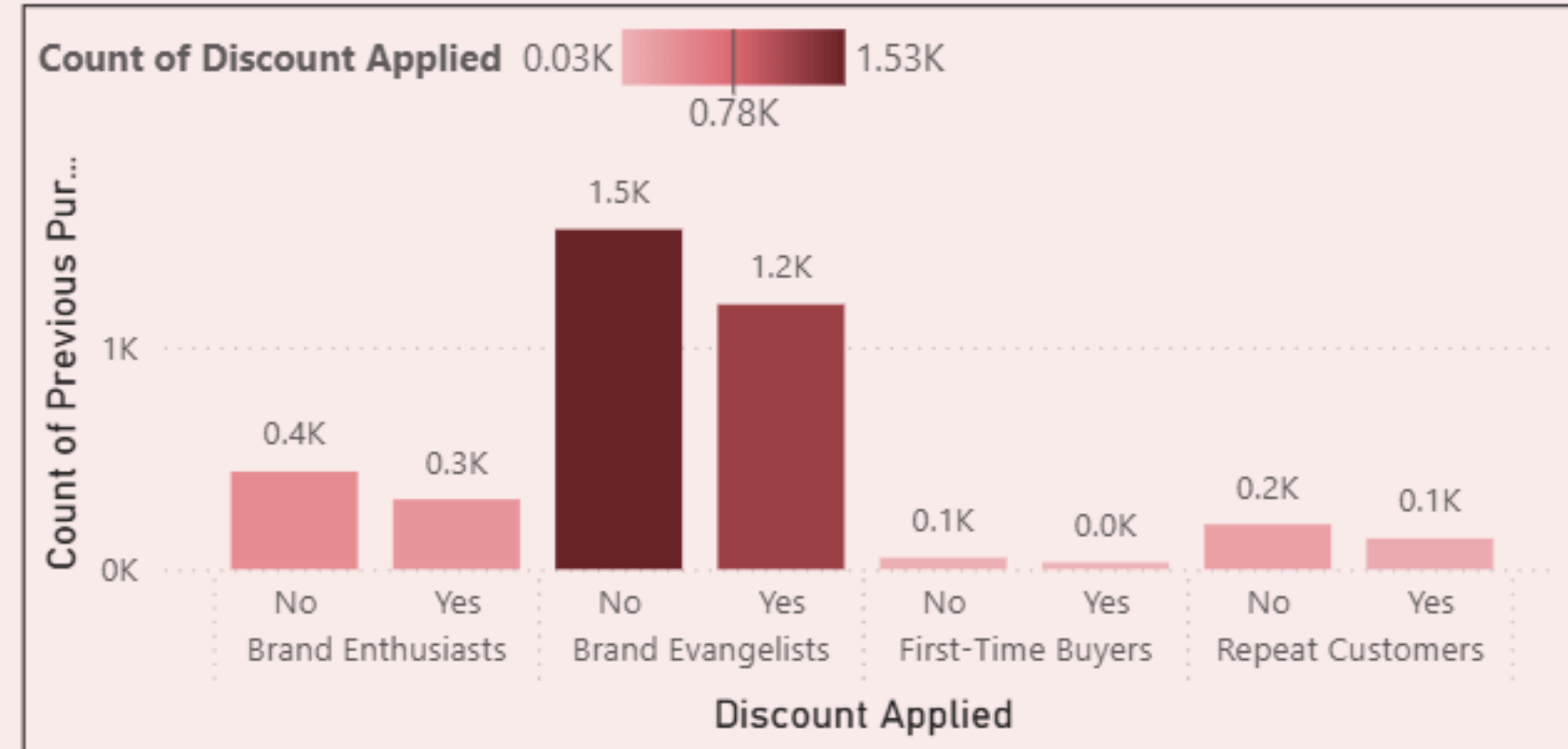
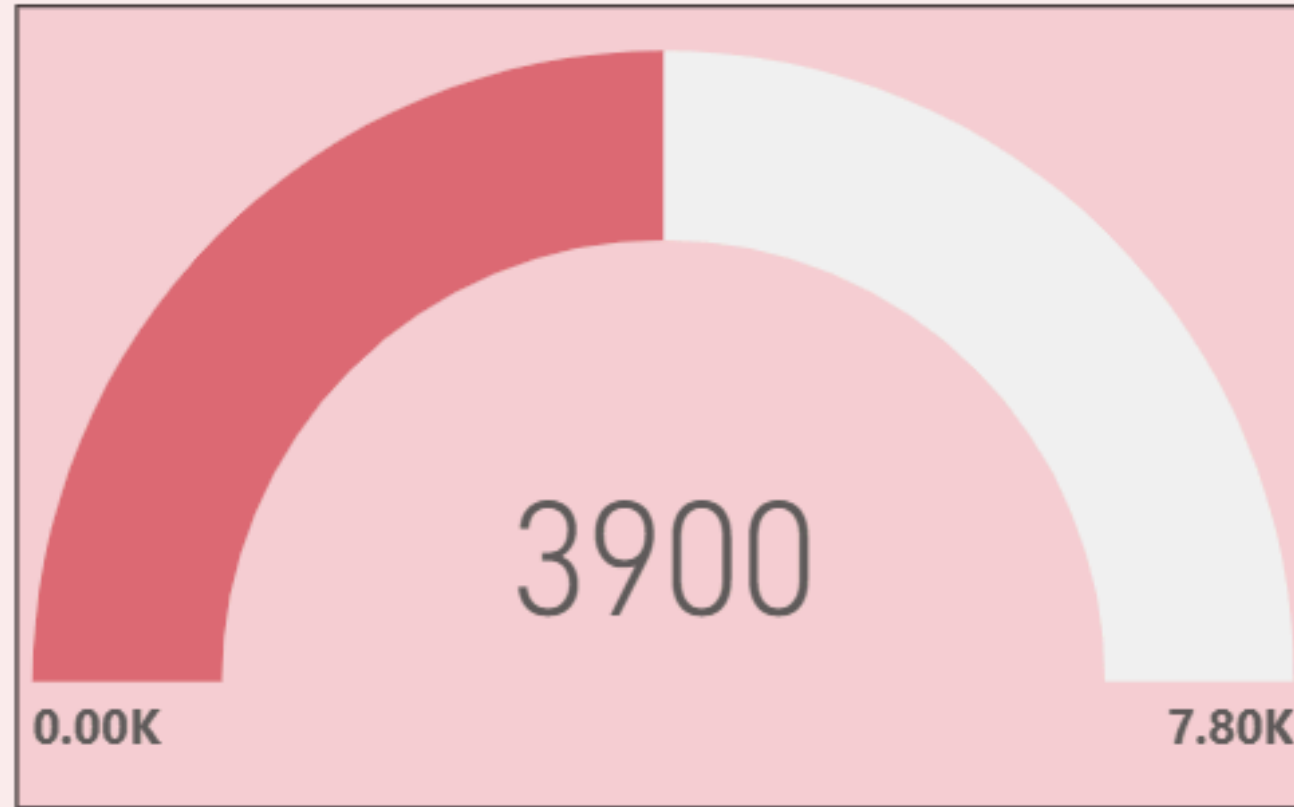
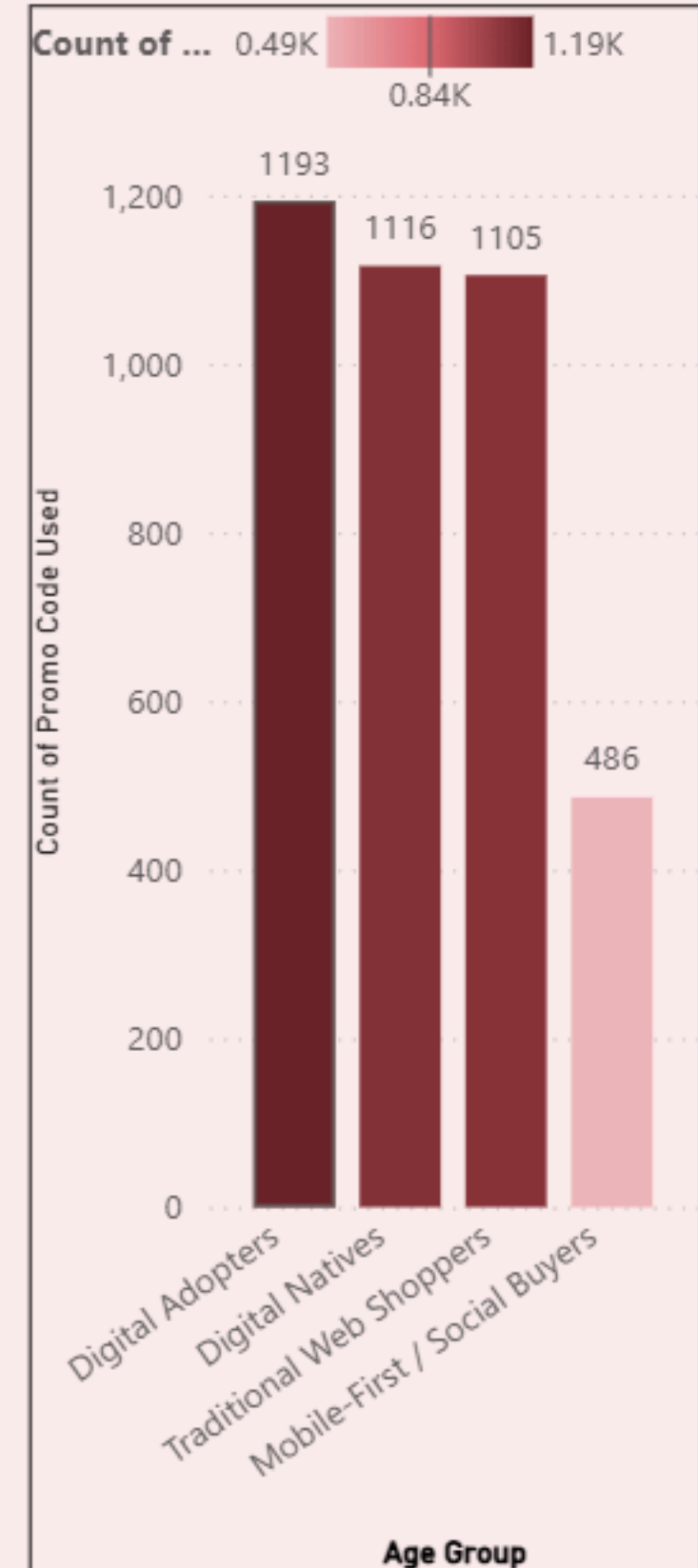
Data cleansing

- `df['Frequency Score'] = df['Frequency of Purchases'].map(score_mapping)`
- `# CALCULATE ESTIMATED ENGAGEMENT (DAYS & YEARS)`
- `# Formula for Days: (Previous Purchases / Frequency Score)`
- `df['Estimated Engagement (Days)'] = np.where(
• df['Frequency Score'] > 0,
• df['Previous Purchases'] / df['Frequency Score'],
• 0)`
- `# New Formula for Years: (Estimated Engagement Days / 365)`
- `# We also round it to 1 decimal place so it looks clean in Excel (e.g., 2.5 years)`
- `df['Estimated Engagement (Years)'] = np.rounded(df['Estimated Engagement (Days)'] / 365, 1) if hasattr(np, 'rounded') else (df['Estimated Engagement (Days)'] / 365).round(1)`
- `output_file = 'cleaned_customer_data.csv'`
- `df.to_csv(output_file, index=False)`
- `print(f"Cleaning complete! Saved as '{output_file}'.")`
- `print("\nPreview of the new engagement metrics:")`
- `print(df[['Previous Purchases', 'Frequency of Purchases', 'Estimated Engagement (Days)', 'Estimated Engagement (Years)']].head())`

Visualizations and dashboards

- The interactive dashboards were constructed by importing the cleaned Python dataset into Power BI and introducing custom analytical measures to shift from basic transactional reporting to deep behavioral tracking. Calculated metrics such as promo utilization rates and specialized brand pull scores were engineered to drive dynamic cross-filtering and uncover hidden margin leakage.
- The resulting business intelligence suite is divided into four dedicated diagnostic panels:
 - **Customer Behavior & Segmentation:** Establishes the macro-level baseline, outlining overall customer distribution, age demographics, and core subscription metrics.
 - **Geographical Analysis:** Visualizes regional performance across the United States, positioning location-specific spending against promo metrics to pinpoint underleveraged market opportunities.
 - **Promo Dependency:** Analyzes margin risks using a decomposition tree and key influencer charts to isolate behavioral pathways driving discount reliance.
 - **Product Category Analysis:** Deep-dives into inventory metrics, mapping category-specific sales volume, average satisfaction ratings, and shipping preferences against customer tiers.

Customer Behavior and Segmentation insights



Geographical Analysis

Gender

Female

Male

Loyalty Segment

Brand Enthusiasts

Brand Evangelists

First-Time Buyers

Repeat Customers

Discount Applied

No

Yes

Age Group

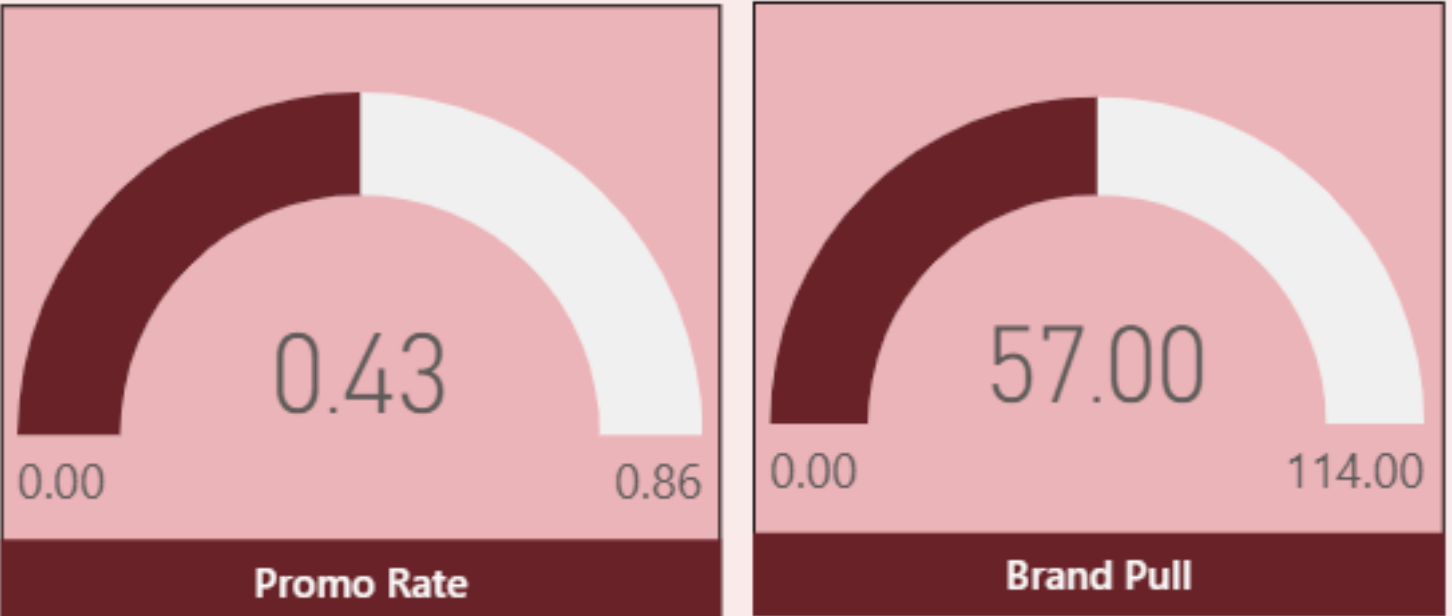
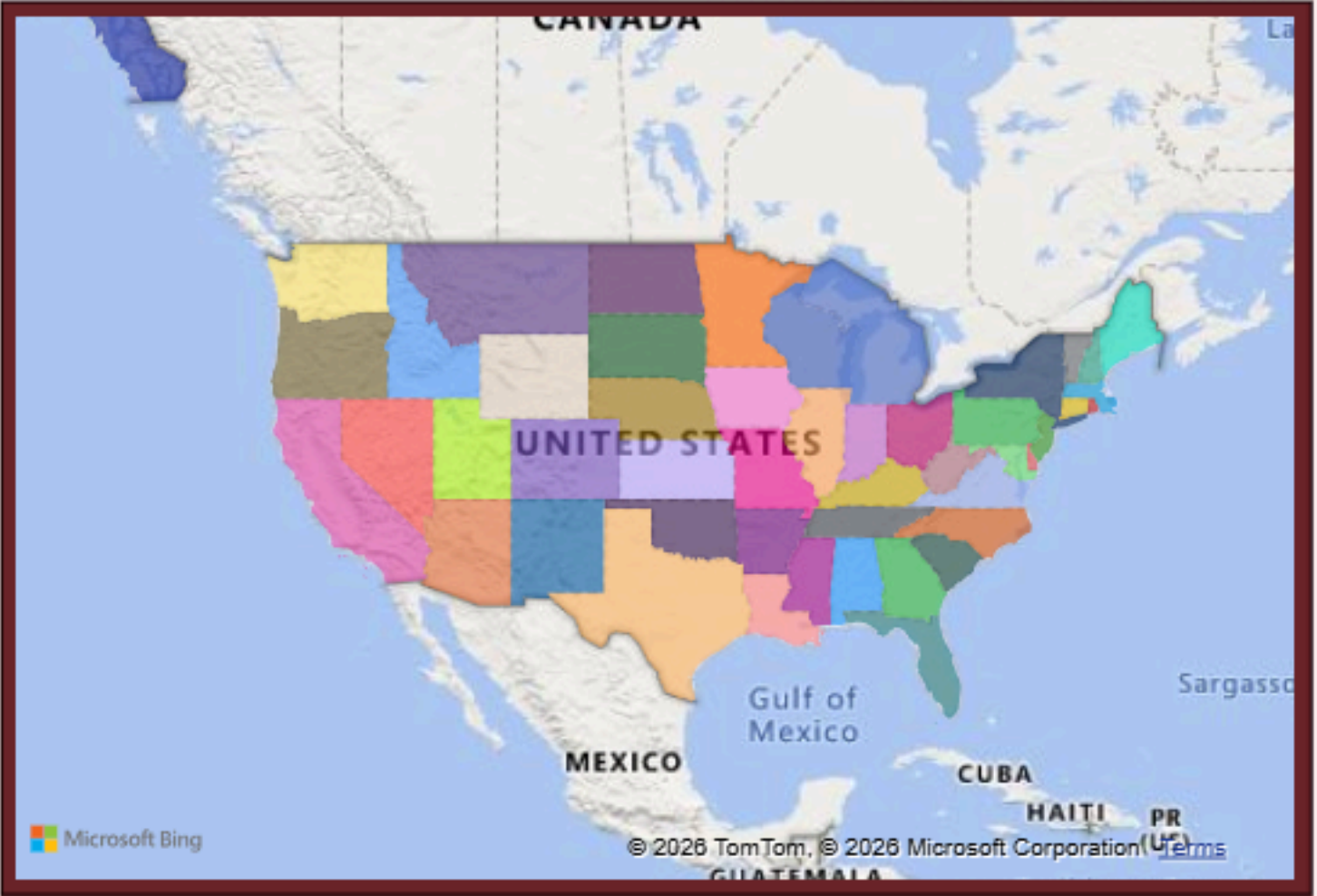
Digital Adopters

Digital Natives

Mobile-First / Social Buyers

Traditional Web Shoppers

Location	Count of Customer ID	Average of Purchase Amount (USD)	Promo Rate	Brand Pull Score
Kansas	63	54.56	0.24	76.00
Connecticut	78	54.18	0.33	67.00
Arizona	65	66.55	0.34	66.00
Maine	77	56.99	0.35	65.00
Tennessee	77	61.97	0.36	64.00
Texas	77	61.19	0.36	64.00
Montana	96	60.25	0.38	63.00
South Dakota	70	60.51	0.37	63.00
Virginia	77	62.88	0.38	62.00
Vermont	85	57.18	0.39	61.00
Alabama	89	59.11	0.40	60.00
Alaska	72	67.60	0.40	60.00
Illinois	92	61.05	0.40	60.00
Michigan	73	62.10	0.40	60.00
New Jersey	67	56.75	0.40	60.00
Rhode Island	63	61.44	0.40	60.00
Colorado	75	56.29	0.41	59.00
Georgia	79	58.80	0.41	59.00
Idaho	93	60.08	0.41	59.00
New York	87	60.43	0.41	59.00
California	95	59.00	0.42	58.00
Louisiana	84	57.71	0.42	58.00
Wyoming	71	60.69	0.42	58.00
Kentucky	79	55.72	0.43	57.00
Total	3900	59.76	0.43	57.00



Promo Dependency

Gender

Female Male

Loyalty Segment

Brand Enthusiasts Brand Evangelists First-Time Buyers Repeat Customers

Discount Applied

No Yes

Age Group

Digital Adopters Digital Natives Mobile-First / Social Buyers Traditional Web Shoppers

Payment Method

Cash

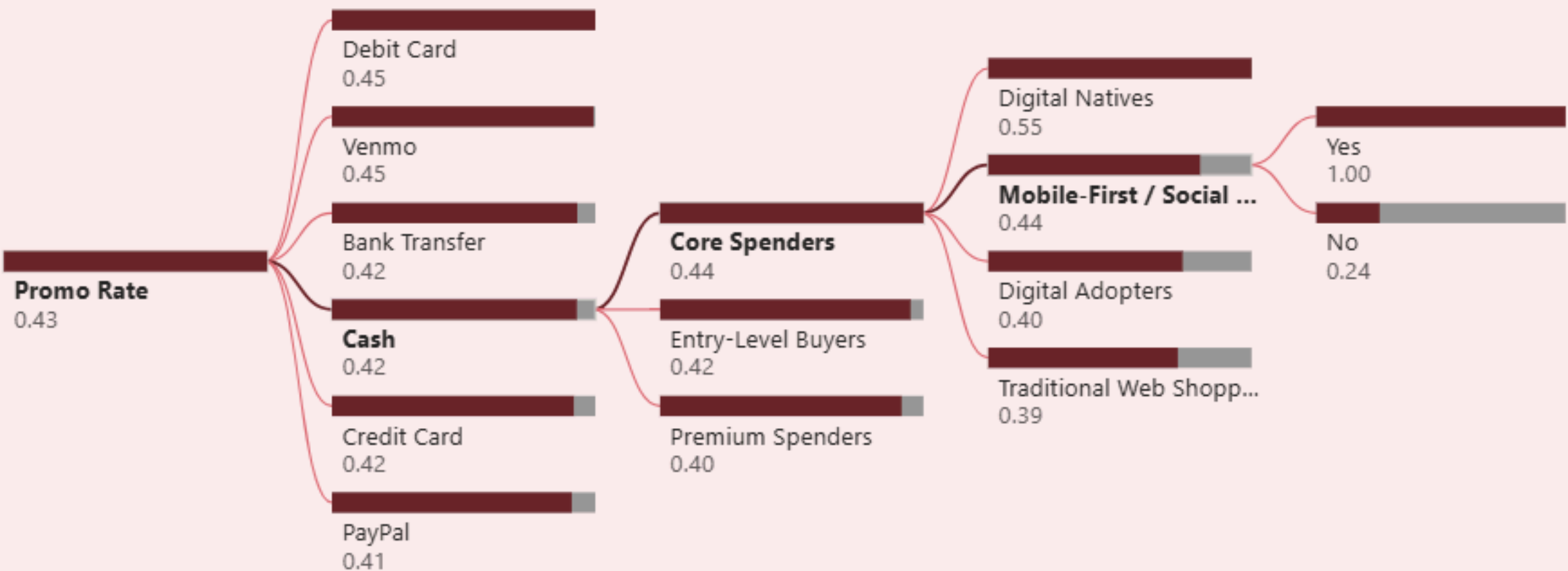
Spend Segment

Core Spenders

Age Group

Mobile-First / Social B...

Subscription Stat...



Key influencers

Top segments

When is Discount Applied more likely to be

No

100.0%

In segment 1, 100.0% of Discount Applied is No. This is 43 percentage points higher than average (57.0%).

Segment 1

100.0%

Overall

57.0%

Segment 1 contains 2,223 data points (57.0% of the data).

Segment 1
Other



Product Category wise Analysis

Gender

Female

Male

Loyalty Segment

Brand Enthusiasts

Brand Evangelists

First-Time Buyers

Repeat Customers

Discount Applied

No

Yes

Age Group

Digital Adopters

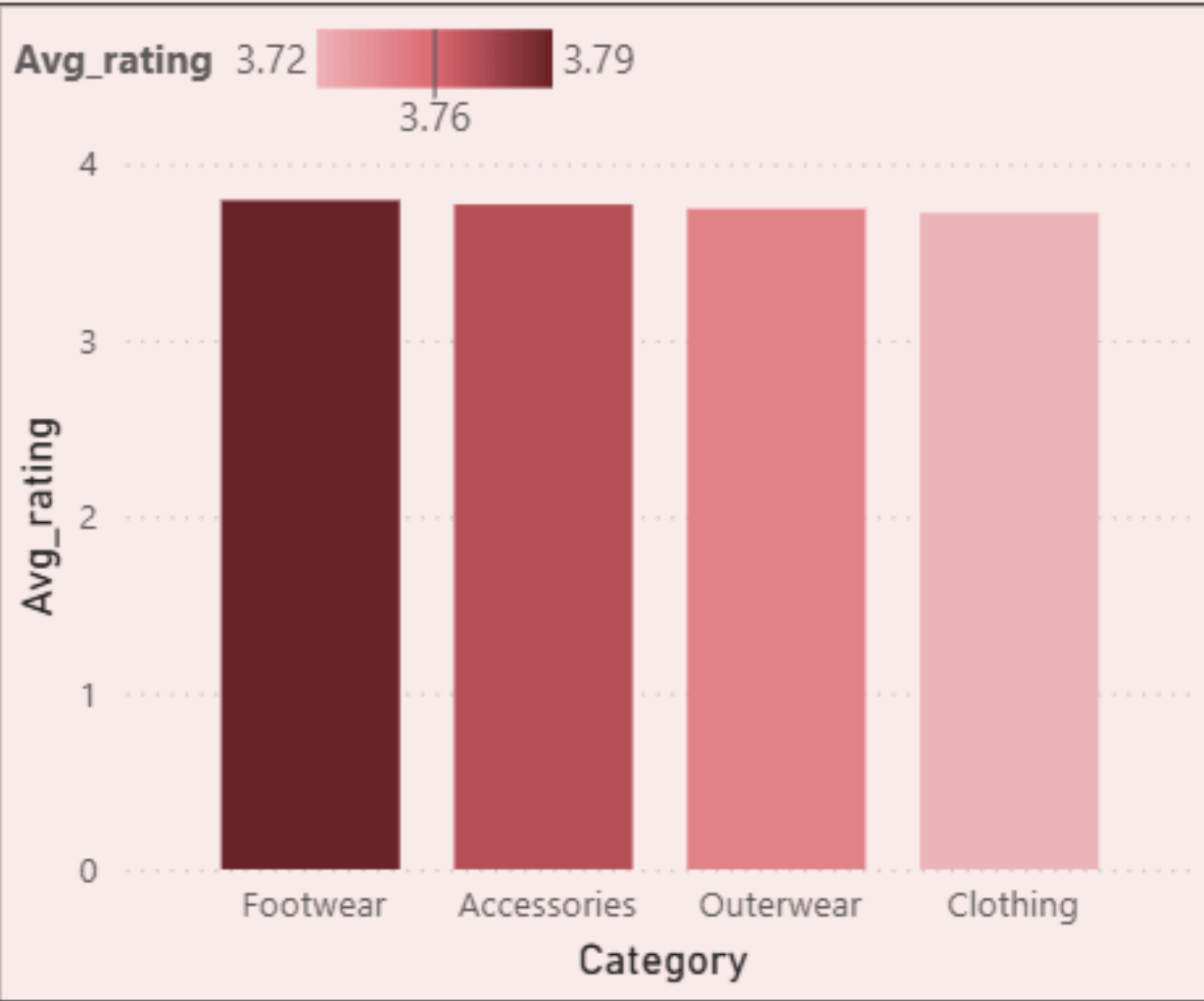
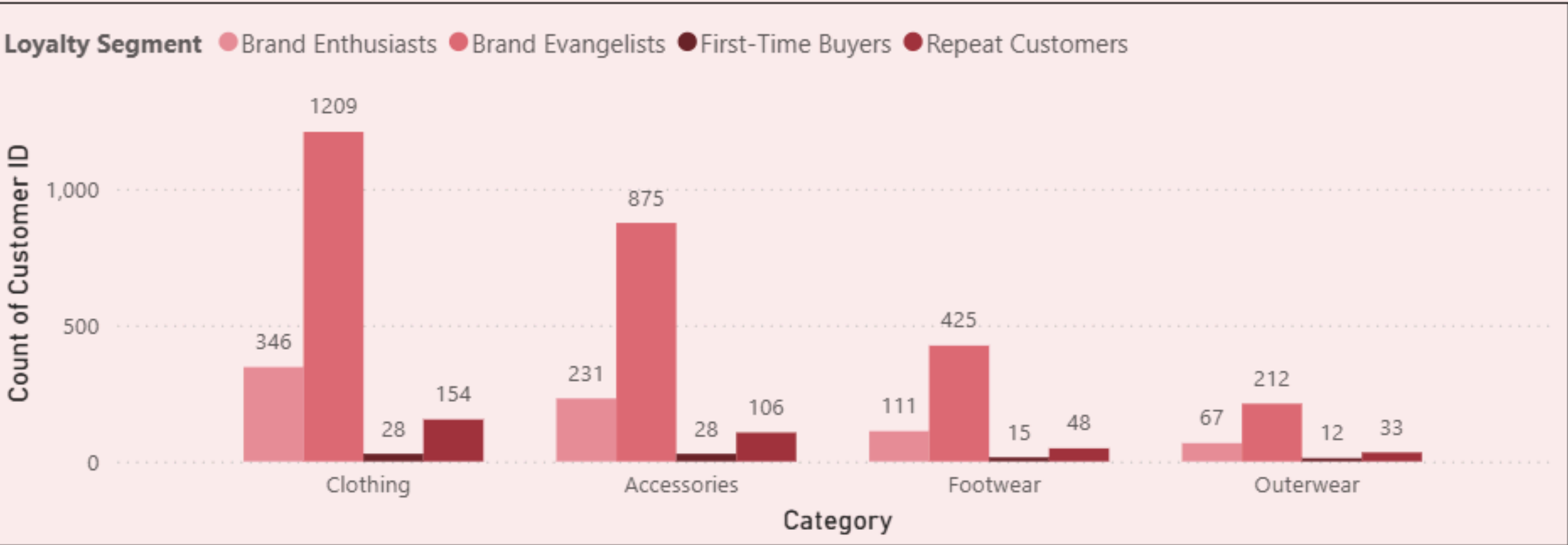
Digital Natives

Mobile-First / Social Buyers

Traditional Web Shoppers



Shipping Type	Accessories	Clothing	Footwear	Outerwear
2-Day Shipping	206	281	90	50
Express	203	290	96	57
Free Shipping	195	294	122	64
Next Day Air	211	293	93	51
Standard	208	297	100	49
Store Pickup	217	282	98	53
Total	1240	1737	599	324



Segmentation

- The interactive dashboards were constructed by importing the cleaned Python dataset into Power BI and introducing custom analytical measures to shift from basic transactional reporting to deep behavioral tracking. Calculated metrics such as promo utilization rates and specialized brand pull scores were engineered to drive dynamic cross-filtering and uncover hidden margin leakage.
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Segmentation

```
• SELECT
•   "Promo Code Used",
•   "Loyalty Segment",
•   COUNT("Customer ID") AS total_customers,
•   AVG("Previous Purchases") AS avg_prior_purchases,
•   AVG("Purchase Amount (USD)") AS avg_spend,
•   -- Calculates the percentage of customers in this group with subscriptions
•   SUM(CASE WHEN "Subscription Status" = 'Yes' THEN 1 ELSE 0 END) * 100.0 / COUNT(*) AS subscription_rate
• FROM
•   cleaned_customer_data
• GROUP BY
•   "Promo Code Used",
•   "Loyalty Segment"
• ORDER BY
•   avg_prior_purchases DESC;
```

This query isolates the four python-engineered loyalty segments, then drills down into each to check if a coupon was used. By calculating total customers, average spend, and subscription rates for these combinations, it highlights exactly where discounts are undermining revenue from highly loyal buyers.

Segmentation

```
• SELECT
•   "Spend Segment",
•   "Category",
•   "Frequency of Purchases",
•   COUNT("Customer ID") as customer_volume,
•   AVG("Previous Purchases") AS avg_lifetime_purchases,
•   AVG("Review Rating") AS avg_satisfaction
• FROM
•   cleaned_customer_data
• GROUP BY
•   "Spend Segment",
•   "Category",
•   "Frequency of Purchases"
• -- Focusing on patterns that lead to higher than average retention
• HAVING
•   AVG("Previous Purchases") > 15
• ORDER BY
•   avg_lifetime_purchases DESC;
```

This query combines spend tiers, product categories, and purchase frequencies to isolate high-retention customer segments averaging more than 15 lifetime orders, directly mapping the brand's Ideal Customer Profile.

Segmentation

```
• WITH LocationStats AS (  
•   SELECT  
•     "Location",  
•     "Age Group",  
•     COUNT("Customer ID") AS total_customers,  
•     AVG("Purchase Amount (USD)") AS avg_order_value,  
•     AVG("Previous Purchases") AS avg_retention  
•   FROM  
•     cleaned_customer_data  
•   GROUP BY "Location", "Age Group")  
• SELECT * FROM LocationStats  
• WHERE  
•   -- Filtering for low volume (underleveraged) but high value  
•   total_customers < (SELECT AVG(total_customers) FROM LocationStats)  
•   AND avg_order_value > (SELECT AVG(avg_order_value) FROM LocationStats)  
• ORDER BY  
•   avg_order_value DESC,  
•   avg_retention DESC;
```

This query isolates underleveraged location and age segments that have below average customer volumes but generate above average order values.

Segmentation

```
• SELECT
•   "Loyalty Segment",
•   "Spend Segment",
•   COUNT("Customer ID") AS segment_size,
•   AVG("Previous Purchases") AS avg_loyalty,
•   SUM(CASE WHEN "Promo Code Used" = 'Yes' THEN 1 ELSE 0 END) * 100.0 / COUNT(*) AS promo_reliance_percentage
• FROM
•   customer_data
• GROUP BY
•   "Loyalty Segment",
•   "Spend Segment"
• -- We want to find highly loyal customers who are heavily using promos
• HAVING
•   AVG("Previous Purchases") > 20
•   AND (SUM(CASE WHEN "Promo Code Used" = 'Yes' THEN 1 ELSE 0 END) * 100.0 / COUNT(*)) > 50
• ORDER BY
•   promo_reliance_percentage DESC;
```

This query filters out highly loyal customers who are heavily dependent on using promo codes, it helps us list the customers for which sunset plans must be initiated to slowly end their dependency on promo codes.

Segmentation

```
• WITH TopCustomers AS (SELECT * FROM cleaned_customer_data
• -- Defining the "Ideal Customer" as someone in the top tier of historical purchases
• WHERE "Previous Purchases" >= 40 )
• SELECT
• "Age Group",
• "Gender",
• "Payment Method",
• "Category" AS preferred_entry_category,
• COUNT(*) as profile_count,
• AVG("Purchase Amount (USD)") AS avg_spend,
• AVG("Review Rating") as avg_rating
• FROM
• TopCustomers
• GROUP BY "Age Group", "Gender", "Payment Method", "Category"
• ORDER BY
• profile_count DESC
• LIMIT 5;
```

Isolate the top tier of customers (e.g., top 10% by previous purchases or spend) and aggregate their demographic and preference data to build a persona

Insights (*Customer Base & Segmentation*)

Statement: Age group 25–55 represents 60% of the customer base and is the heaviest promo-using demographic.

So what?: This is your core commercial audience. Any promo reform or subscription push must be designed around their behaviour first if this group doesn't convert, nothing moves.

Statement: Brand Evangelists are 70% of the base but First-Time Buyers are only 2% (83 customers).

So what?: The business has strong retention but is not replacing itself. If even 10% of Evangelists churn this year, there is no acquisition funnel to backfill from. This is the single most urgent structural risk in the data.

Statement: Mobile-First / Social Buyers are significantly underrepresented at 486 customers vs 1,100+ for every other age group.

So what?: Either this channel is underserved by your current marketing mix or it is a genuinely smaller addressable segment. Worth investigating whether social acquisition has been attempted at scale — if not, it is an untested growth lever.

Insights (*Revenue & Spend*)

Statement: Premium Spenders are 38% of customers but generate 55% of total revenue (\$127K).

So what?: Your revenue is concentrated in a minority segment. Retention of this group is non-negotiable. A targeted loyalty programme specifically for Premium Spenders separate from the blanket promo strategy would protect the majority of your revenue at relatively low cost.

Statement: Premium Spenders have a slightly lower promo rate (41.6%) than Core and Entry-Level buyers (43–44%).

So what?: Your highest-value customers are your most organically motivated. This means you can safely reduce or restrict promos for this segment without meaningfully hurting conversion and doing so immediately recovers margin on your most valuable revenue pool.

Statement: Previous purchase history is identical across all three spend tiers at approximately 25 purchases each.

So what?: Customers are not being upsold over time. They enter at a spend tier and stay there. There is no graduation path from Entry-Level to Core to Premium meaning the business is leaving a significant revenue expansion opportunity completely untouched.

Insights (*Promo & Discount Behaviour*)

Statement: Promo rates are flat across all loyalty tiers — Brand Evangelists 44%, First-Time Buyers 37%.

So what?: Discounts are not building loyalty. You are giving margin away to customers who would have bought anyway. Every promo issued to a Brand Evangelist is pure margin cost with zero behavioural return.

Statement: Discount percentage is uniform across all product categories.

So what?: You are discounting Jewelry and Coats — your retention products bought by your most loyal customers — at the same rate as entry-point products like Jeans and Backpacks. Immediately removing or reducing discounts on retention categories would recover margin without affecting acquisition at all.

Statement: 75% of customers have no subscription despite high repeat purchase behaviour.

So what?: The subscription model is structurally undermined by free promo access. Customers have no financial reason to subscribe when they can get the same discount without committing. Gating promos behind subscription status is the most direct fix and would likely convert a significant portion of the 2,850 non-subscribers.

Insights (*Geographic*)

Statement: Kansas, Connecticut, Arizona, Maine and Tennessee have the highest brand pull scores (64–76) with promo rates of 0.24–0.36.

So what?: These markets buy on brand strength without needing discounts. They are your proof of concept that the business can operate profitably without a promo-dependent model. Prioritise customer acquisition spend here — the unit economics are fundamentally better than in any other market.

Statement: Indiana has a 57% promo rate, the highest in the dataset.

So what?: Nearly every other purchase in Indiana is discount-driven. Revenue from this state is structurally unprofitable compared to brand-pull markets. Before scaling any spend in Indiana, the promo dependency needs to be diagnosed — it may reflect competitive pressure, price sensitivity or simply historical conditioning from aggressive discounting.

Statement: Average spend per state only ranges from \$54 to \$68 across all 50 states.

So what?: Geography does not change how much a customer spends — it only changes whether they needed a promo to do it. This means geographic expansion is a volume story, not a revenue-per-customer story. Pick markets based on brand pull score, not average spend.

Insights (*Product & Category*)

Statement: Jeans (21.5), Jacket (23.1) and Backpack (23.6) have the lowest average purchase history entry-point products.

So what?: These are the products that bring customers in for the first time. Acquisition marketing, introductory offers and new customer campaigns should be built around these three items specifically, not spread across the entire catalogue.

Statement: Jewelry (28.9), Coat (26.8) and Scarf (26.8) have the highest average purchase history retention products.

So what?: These are bought by your most loyal customers and should never be discounted. Protecting margin on these items is low risk because the customers buying them have already demonstrated they do not need a price incentive.

Statement: Average ratings are flat across all categories at 3.72–3.79.

So what?: No category has a quality perception problem but equally no category is a standout. There is no product-led growth engine here — no single category that customers love enough to drive word of mouth or organic acquisition. This reinforces why brand pull in specific geographies matters more than product differentiation.

Insights (*Product & Category*)

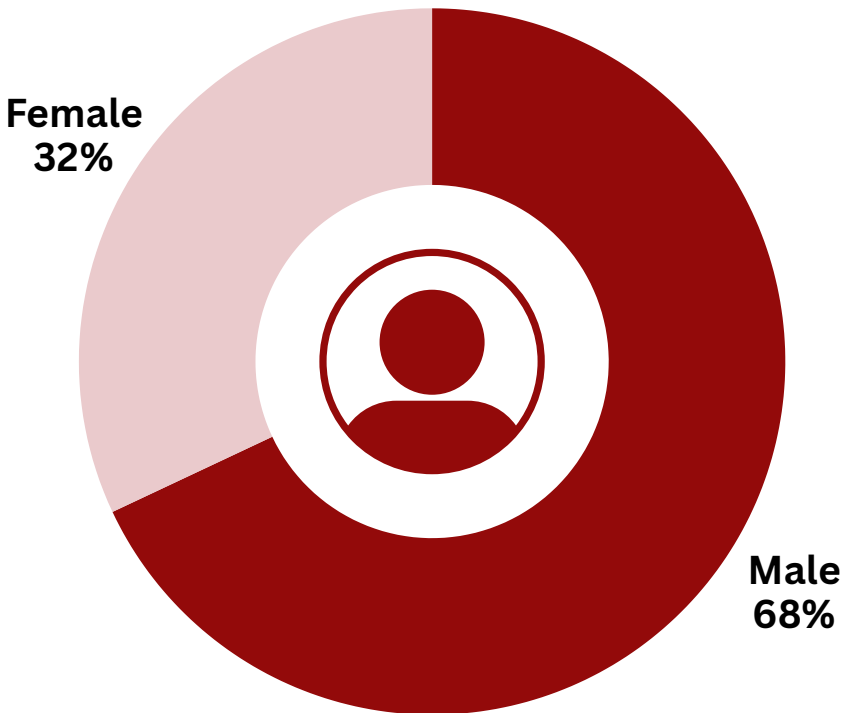
Statement: Promo rates are structurally random, margin-dilutive and loyalty-neutral across the entire customer base.

So what?: Reforming the promo strategy is the single highest-leverage action available. Restricting promos to entry-point products only, gating them behind subscription status, and removing them entirely from retention categories would simultaneously recover margin, grow subscription revenue and not meaningfully harm conversion anywhere in the base.

Statement: Spend is perfectly flat across all four seasons.

So what?: The business carries no seasonal demand risk. This is a genuine asset when pitching investors and a clean foundation for a subscription model predictable revenue with no seasonal volatility is exactly what recurring revenue investors want to see.

Insights *(Ideal customer profile)*



Who they are

- Gender: Male
- Age: 25 - 55
- Type: Premium Spender
- Avg Spend: \$85
- Type: Brand evangelist
- Avg prev. purchase: 25
- Subscription: No



Product interests

- Category: Clothing (45%)
- Favorites:
 - Jewelry
 - Coat
 - Scarf
- Discounts: No
- Promo rate: 41.6%

Retention products

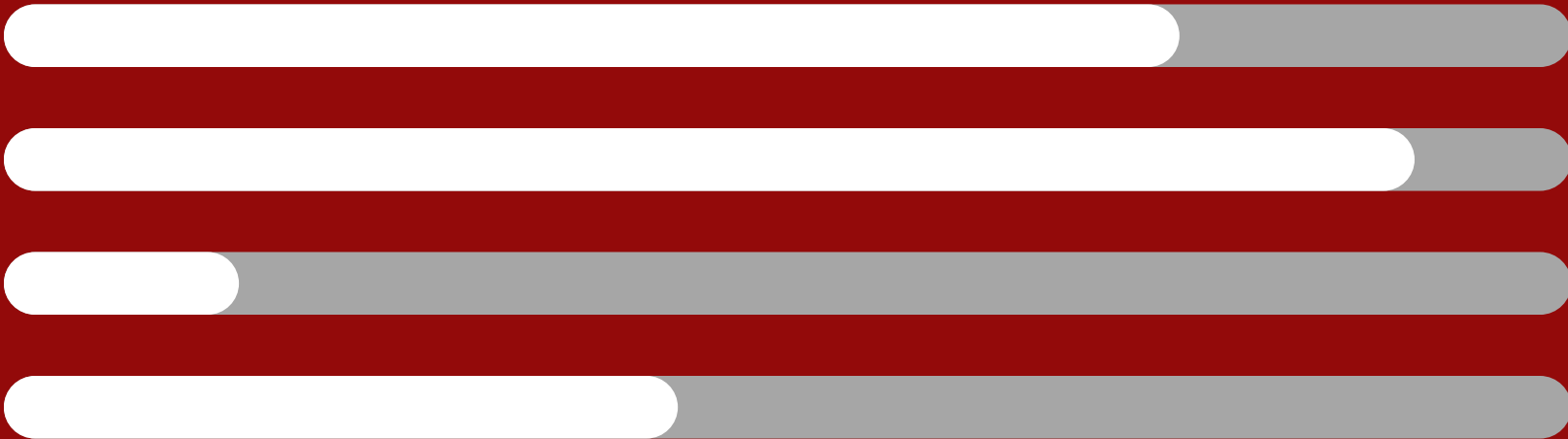
- Jewelry: 28.9 avg history
- Coat: 26.8 avg history
- Scarf: 26.8 avg history
- Blouse: 26.7 avg history



Top Geographies

- Kansas
- Connecticut
- Arizona
- Maine
- Tennessee
- Texas

Signal strength



Promo Independence

Brand Loyalty

Upsell potential

Subscription likelihood

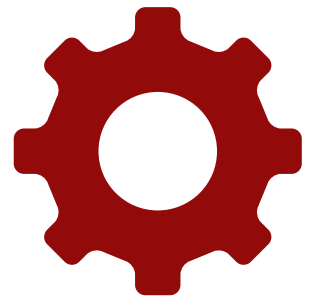
Business Recommendations

- **Recommendation 1 : Cap promo eligibility for high-loyalty customers**
- **Recommendation 2 : Tiered discount caps by product role (entry vs retention)**
- **Recommendation 3 : First-time buyer welcome offer, paired with subscription nudge**
- **Recommendation 4 : Launch acquisition campaigns in high brand-pull, low-penetration states**
- **Recommendation 5 : Diversify category mix to reduce concentration risk**

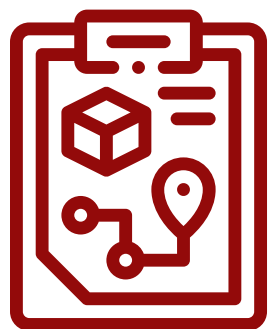
Business Recommendation (1)



Restrict promo code access for Brand Evangelists and customers with 25+ previous purchases, replacing blanket discounts with occasional, unannounced loyalty perks instead.



These customers already convert at full price their 44% promo usage is pure margin given away with zero behavioral lift (promo usage shows near-zero correlation with previous purchases, $r=0.02$). Removing the expectation of a discount doesn't reduce their purchase frequency because the discount was never the reason they bought.

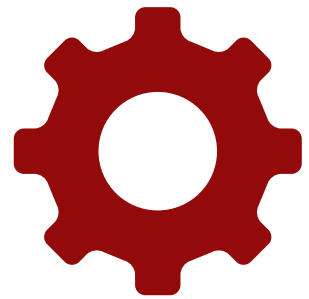


Gross margin per transaction for Brand Evangelists (pre vs post), purchase frequency for this segment (watch for any drop — the hypothesis is there won't be one), and total promo spend as % of revenue month over month.

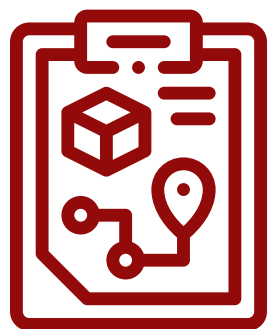
Business Recommendation (2)



Set a maximum discount ceiling per category based on its role: entry-point items (Jeans, Jackets, Backpacks, Hoodies) can carry deeper discounts up to 25-30%, while retention items (Jewelry, Coats, Scarves, Blouses) are capped at 5-10%.



Right now discount rates are flat across categories regardless of who buys them. Retention products are bought disproportionately by loyal customers who don't need the incentive discounting them is pure margin loss. Entry products are where a discount has the best chance of converting a hesitant new buyer, so concentrating spend there is more efficient.

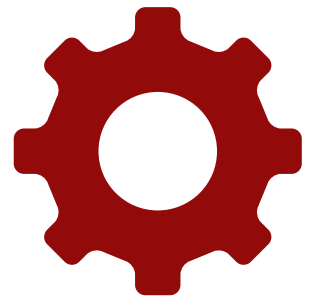


Margin per category before/after, conversion rate on entry-point items at the new discount tier, and whether retention-item purchase volume holds steady despite the reduced discount (it should, since loyal buyers aren't price-driven).

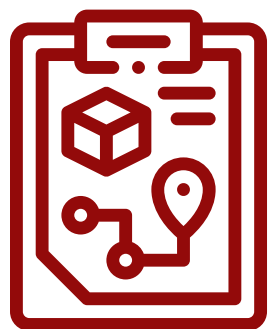
Business Recommendation (3)



Give new customers a meaningfully larger first-purchase discount, but make the offer conditional on starting a subscription or newsletter opt-in.



First-Time Buyers are only 2% of the base (83 people) the acquisition funnel is the most urgent structural gap in the business. A welcome offer attracts them in, but tying it to subscription solves the second major gap simultaneously: 75% of the entire base isn't subscribed, and freely available promos remove any reason to commit.

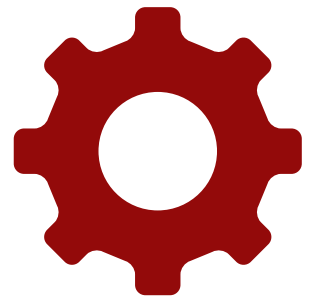


New customer acquisition rate (target: grow beyond 2% of base), subscription opt-in rate among new customers using this offer, and 90-day repeat purchase rate for cohorts acquired this way vs historical first-time buyers.

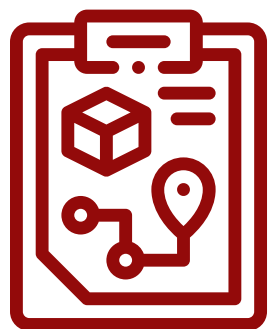
Business Recommendation (4)



Direct new acquisition spend toward Kansas, Arizona, Tennessee, Virginia, Connecticut and Maine states with brand pull scores of 64-76 and customer counts of only 63-78, using the welcome offer from Recommendation 3 as the entry mechanism.



Customers in these states already buy at full price, showing genuine brand pull with minimal market presence making them high-probability, low-cost acquisition targets. This is far more efficient than discount-heavy states like Indiana (57% promo rate), where new customers would likely expect deep discounts immediately.

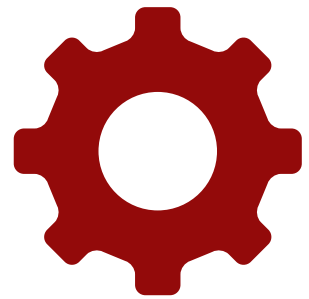


Cost per acquisition by state (compare new vs. existing high-promo states), promo rate of newly acquired customers in these states (should stay low, validating the brand-pull thesis), and revenue growth rate in these 5-6 states vs. the national average.

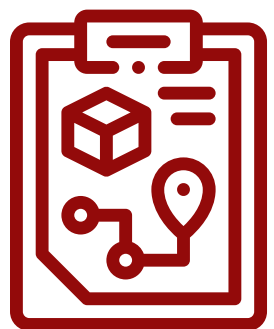
Business Recommendation (5)



Expand product range beyond Clothing (currently 45% of volume) by testing 2-3 new categories or sub-categories, prioritizing launches in the high brand-pull states identified in Recommendation 4 where customers are most likely to try something new without needing a discount to do so.



Heavy Clothing reliance exposes revenue to demand shocks and trend shifts. New categories create fresh entry-point products feeding Recommendation 3's acquisition engine, while giving Premium Spenders new things to buy addressing the flat ~25 previous-purchases pattern that signals no current upsell path.



Category mix as % of total revenue over time (target: Clothing share gradually decreasing as new categories grow, not from Clothing declining), average previous purchases for customers who buy from 2+ categories vs. single-category, and adoption rate of new categories among existing Premium Spenders specifically.

Marketing Plan



Primary audience: the 25–55 age bracket (Digital Adopters and Digital Natives), who make up 60% of the base and show the strongest promo-responsiveness meaning targeted offers will land. Secondary audience: First-Time Buyers, a tiny pool (83 people) we need to grow via acquisition-focused creative built around entry-point products (Jeans, Jackets, Backpacks).

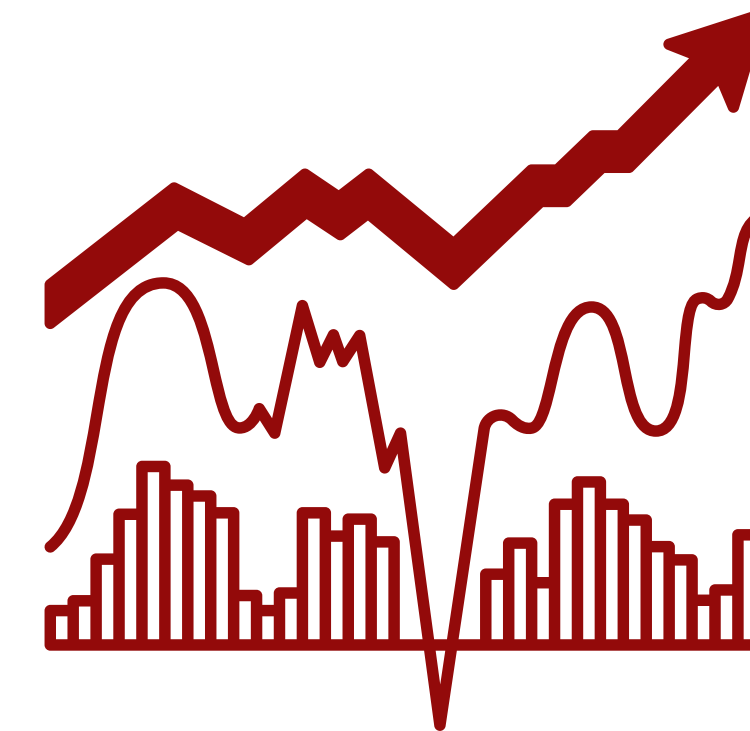
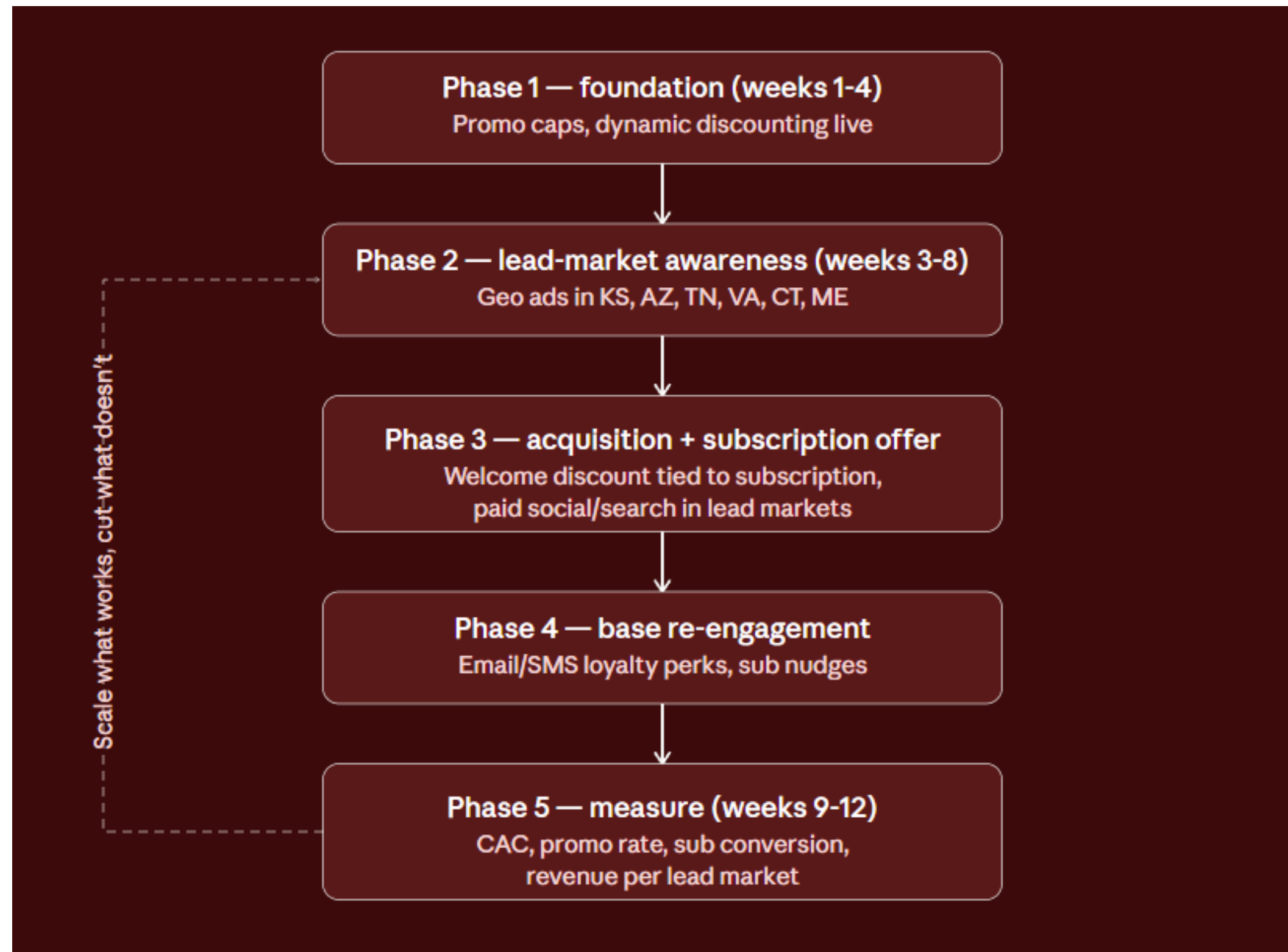


Lead markets: Kansas, Arizona, Tennessee, Virginia, Connecticut, Maine high brand-pull, low-promo, low-penetration states where organic demand is proven but customer counts are still under 80. Avoid front-loading spend in Indiana or other high-promo-dependency states until the discount restructuring (Recommendations 1–2) is live.



Email and SMS for the existing base (loyalty perk rollout, subscription nudges low cost, direct to people who already convert). Paid social and search for new-customer acquisition in lead states, anchored on entry-point product creative. Regional/local digital ads (geo-targeted display, local search) specifically in the six lead states to build awareness before discounting kicks in.

Marketing Plan



Metrics to track

- CAC and revenue per lead-market (KS, AZ, TN, VA, CT, ME)
- Promo rate trend (target: declining for loyal segments)
- Subscription conversion rate from welcome-offer campaigns
- First-time buyer growth (currently 2% of base) and 90-day repeat purchase rate

Summary

55% of revenue comes from 38% of customers

70% of base are brand evangelist and olny 2% are first time buyers

Flat promo rates across all loyalty tiers, discounts don't drive loyalty

75% have no subscriptions, suppressed by free promo access

Top Recommendations

- Cap promos for high-loyalty, high-history customers
- Tiered discounting: deeper cuts on entry products, protect retention products
- Welcome offer for first-time buyers, gated behind subscription sign-up
- Direct acquisition spend to high brand-pull states: KS, AZ, TN, VA, CT, ME
- Diversify category mix beyond Clothing (45% of volume) to reduce concentration risk

